

The Apex Mindset



Ferrari

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Table of Abbreviations

Abbreviations	Explanation
AI	Artificial intelligence
BEV	Battery Electric Vehicle
CAGR	Compound Annual Growth Rate
DCF	Discounted Cash Flow
EBIT	Earnings before Interest and Taxes
EBITDA	Earnings before Interest, Taxes, Depreciation, and Amortization
EMEA	Europe, Middle East, and Africa
EU	Europe
EV	Electric Vehicles
EV	Enterprise Value
EU	European Union
FCF	Free Cash Flow
FX	Foreign Exchange
ICE	Internal Combustion Engine
MaaS	Mobility as a Service
M	Million
M&A	Mergers & Acquisitions
NPV	Net Present Value
OEMs	Original Equipment Manufacturer

Abbreviations	Explanation
PHEV	Plug-in Hybrid Electric Vehicle
R&D	Research & Development
S.p.A	Società per azioni
US	United States
USD	United States Dollar
WACC	Weighted Average Cost of Capital
JV	Joint Venture

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Executive Summary



Should Ferrari N.V acquire Pirelli S.p.A?



Ferrari **should NOT** Acquire Pirelli & C. S.p.A.

Pirelli & C. S.p.A. is a global tire manufacturer specializing in high-performance tires for cars, motorcycles, and bicycles, with a focus on premium and motorsport segment.

Beyond Financial reach: Pirelli's **\$5.8 billion USD valuation** (as of 02/17/2025) makes acquisition **financially unfeasible**, as Ferrari's current cash reserves, combined with debt and equity issuance, would strain its balance sheet and credit profile.

Insufficient Synergies: The proposed deal premium of **\$1.893 Billion USD** significantly outweighs the projected synergies, rendering the transaction economically unviable and failing to justify the valuation.

Antitrust & Regulation Concerns: Pirelli's exclusive position as the **sole tire supplier for Formula 1** raises substantial antitrust risks, potentially triggering regulatory scrutiny and legal challenges that could derail the deal.

Strategic Misalignment: The partnership lacks a coherent strategic fit, as Pirelli's focus on **tire manufacturing and motorsports** does not align with Ferrari's core objectives of **electrification, autonomous driving, and luxury performance innovation**.



Ferrari **should** form a JOINT VENTURE with Rimac Automobili d.o.o

Rimac Automobili d.o.o. is a Croatian company specializing in the design, development, and manufacturing of **electric vehicles, drivetrains, and battery systems**, offering a range of components, engineering solutions, prototyping, production services, and vehicle conversion services.

Fairly priced range of **1.7 Billion USD and 3.74 Billion USD** using Rimac's post Money valuation (2022: 2.15 Billion USD) after a Series D funding round by Goldman Sachs and SoftBank Vision Fund 2 and comparable company analysis.

A **Ferrari-Rimac joint venture** could generate 820million USD –1.33 billion USD annually in synergies, combining 100–180 million USD in cost savings, 570–850 million in revenue enhancements, and 150–300 million in strategic benefits, driven by shared R&D, new product launches, and brand enhancement.

Leveraging **Rimac's cutting-edge powertrains, bespoke battery systems, and motorsports-grade engineering**, Ferrari can accelerate its transition to intelligent, **high-performance mobility** while **preserving its brand exclusivity and racing heritage**, positioning itself as a pioneer in the future of luxury automotive innovation.



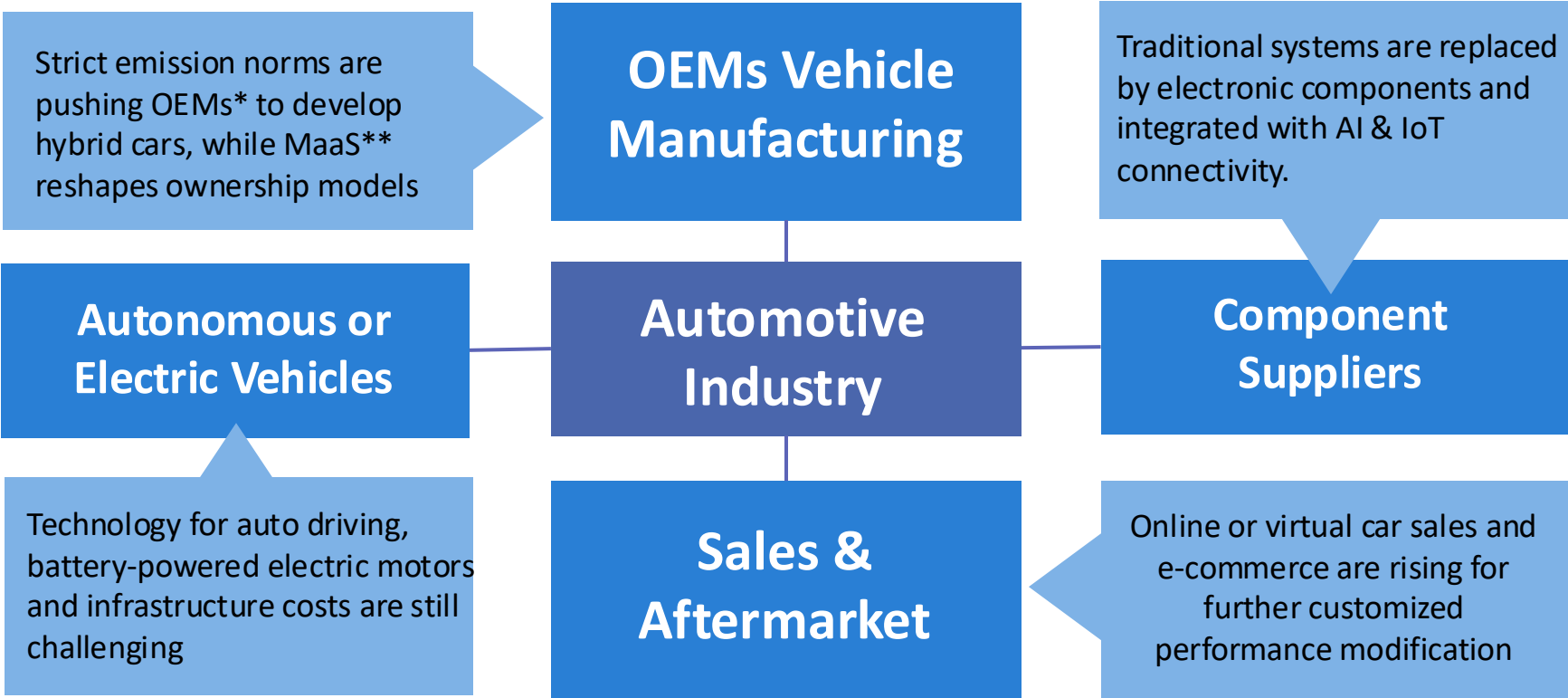
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Industry Overview

With the growing market trend of M&A, conglomerates retain over 25% profit in the competitive automotive industry

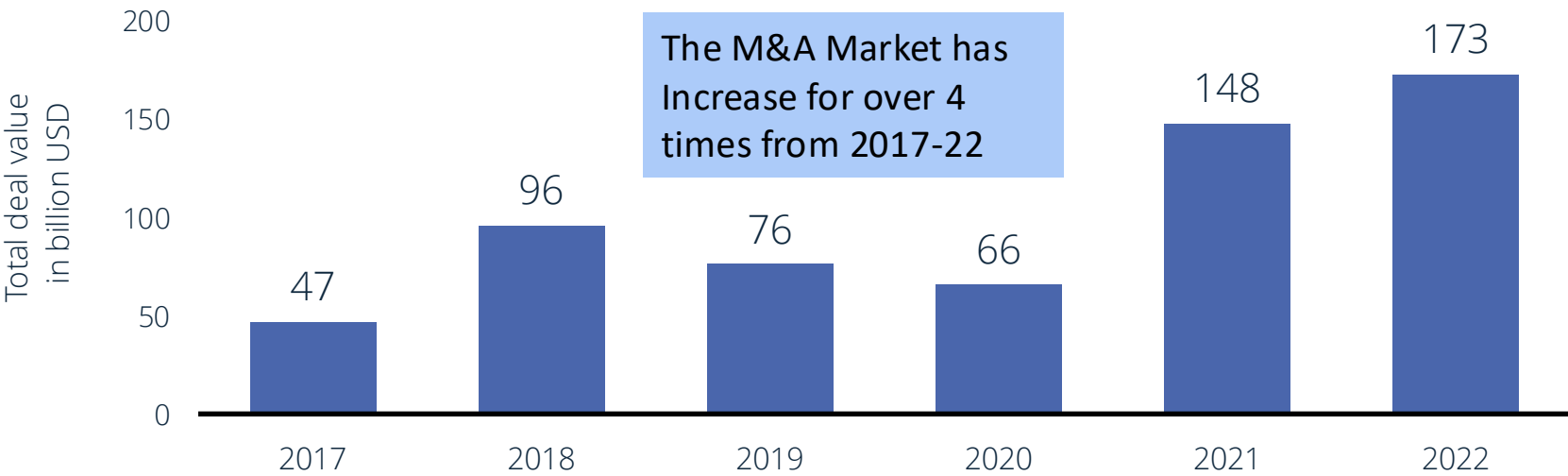
The luxury car segment is a distinct niche market in OEMs...

Automotive Industry Segmentation



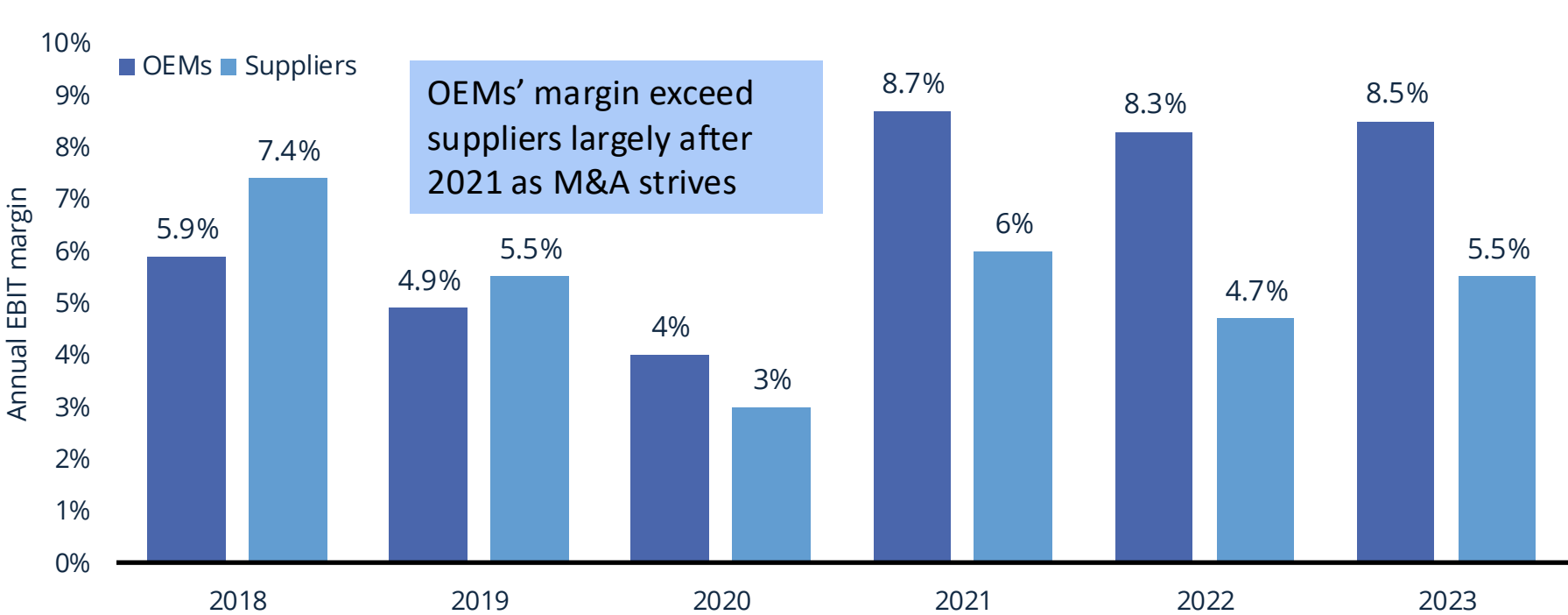
To stay competitive, M&A is a growing trend ...

Global Automotive M&A Deal Value 2017-2022



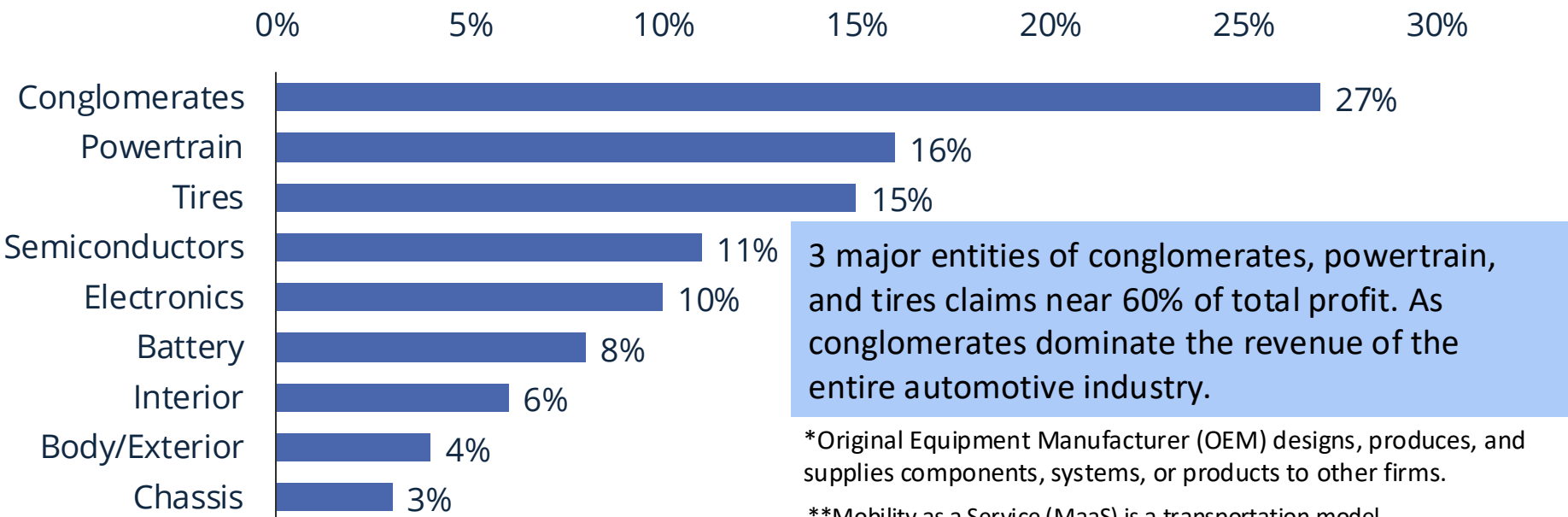
In the competitive industry, firms struggle with low margins...

Profit margins of OEMs and suppliers worldwide, 2018-2023



...with M&A, automotive conglomerates claims over 25% profit

Global EBITDA Profit Breakdown by Supplier Segment, 2021-2023



*Original Equipment Manufacturer (OEM) designs, produces, and supplies components, systems, or products to other firms.

**Mobility as a Service (MaaS) is a transportation model integrating various mobility services into digital platform to provide efficient travel solutions

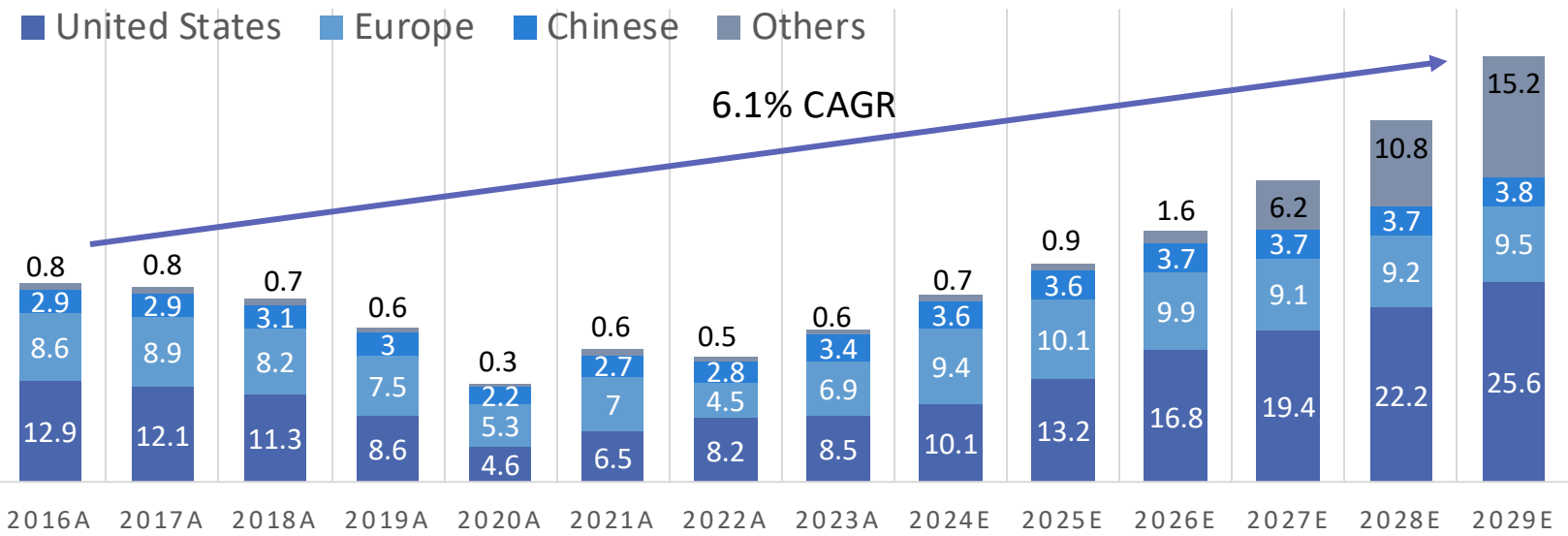
Luxury Automotive Market Overview

Ferrari

The EV market grows 24.5% CAGR as driving type changes to reshape the traditional luxury automotive market, car manufacturers gradually switch to EV models to adapt to future trends.

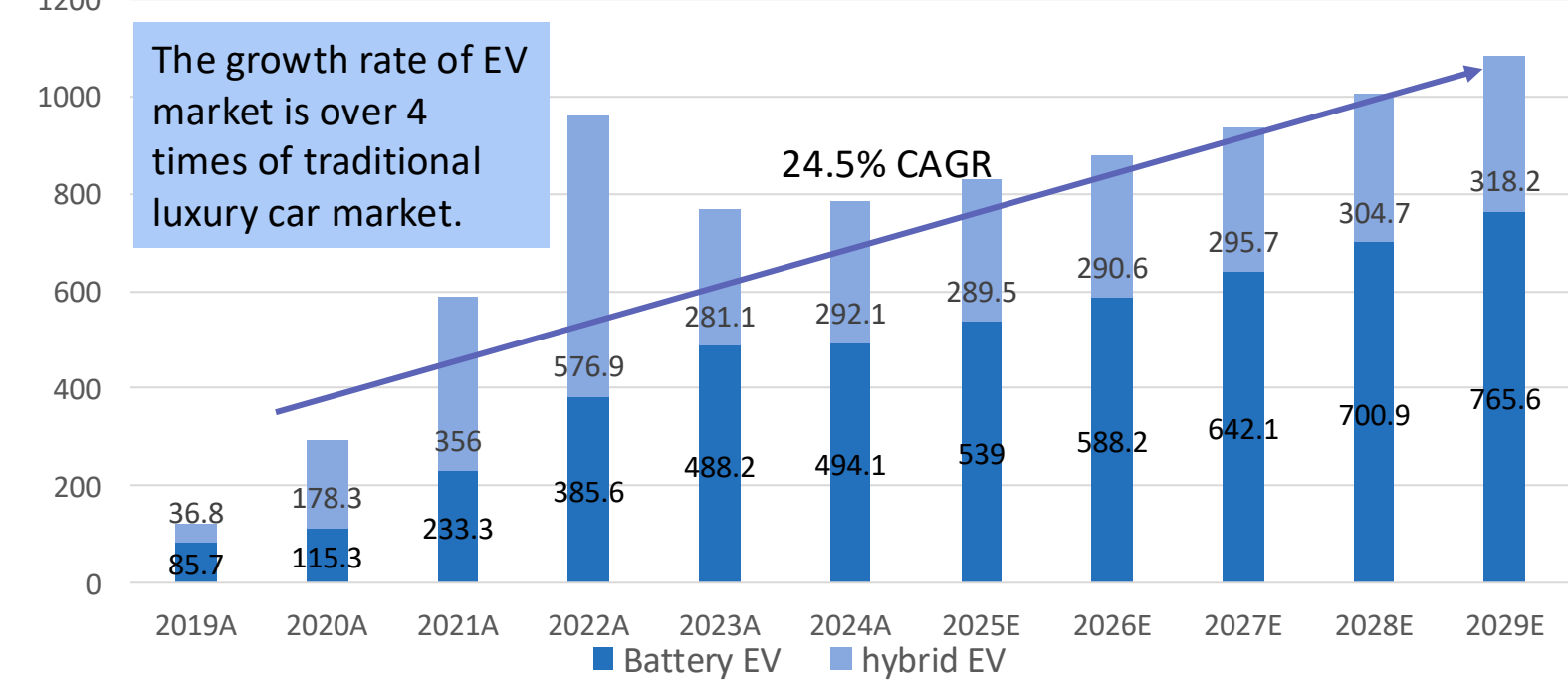
Luxury Automotive Market growing steadily...

Global Sports Cars Market, in million cars, 2016-2029



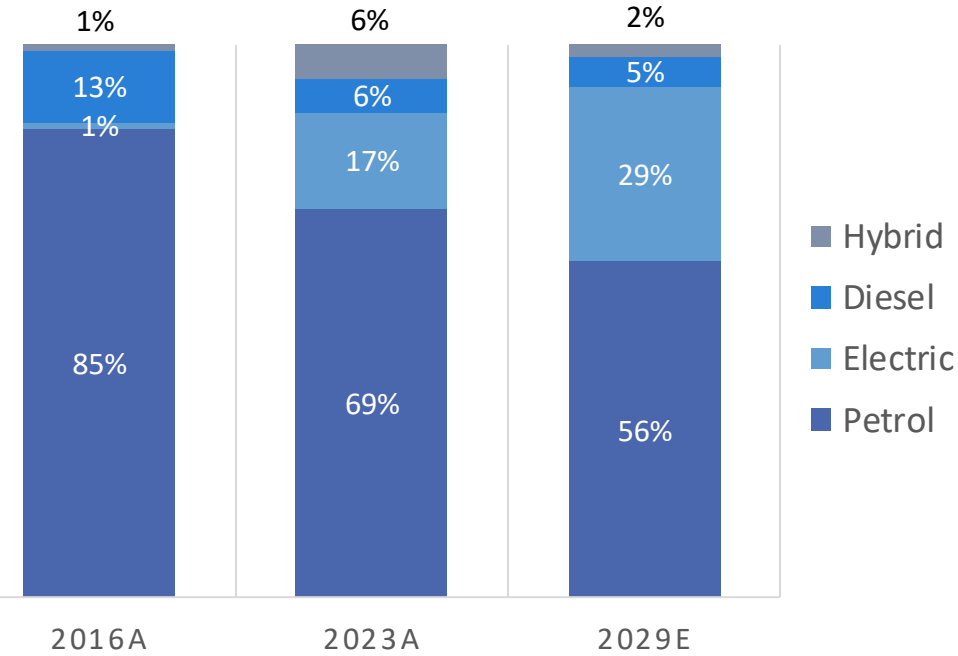
...and the EV market is growing even faster than before...

EV Revenue data and forecast, in billion USD, 2019-2029



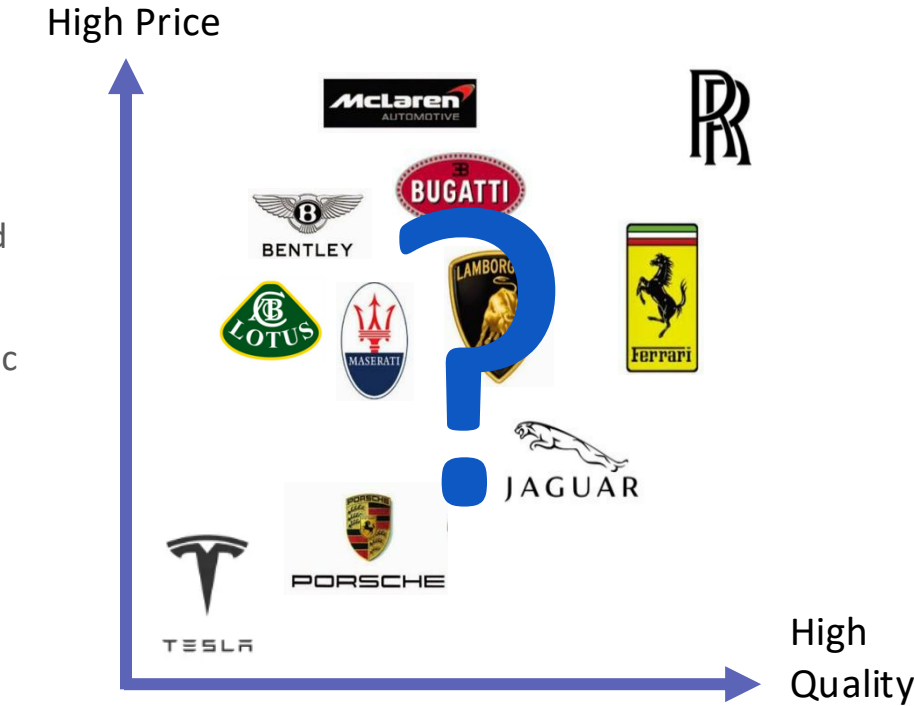
...is adapting to hybrid & electric...

luxury car global drive-type share



...which will reshape future market...

Luxury Car Market Position Map



Luxury EV supercars models

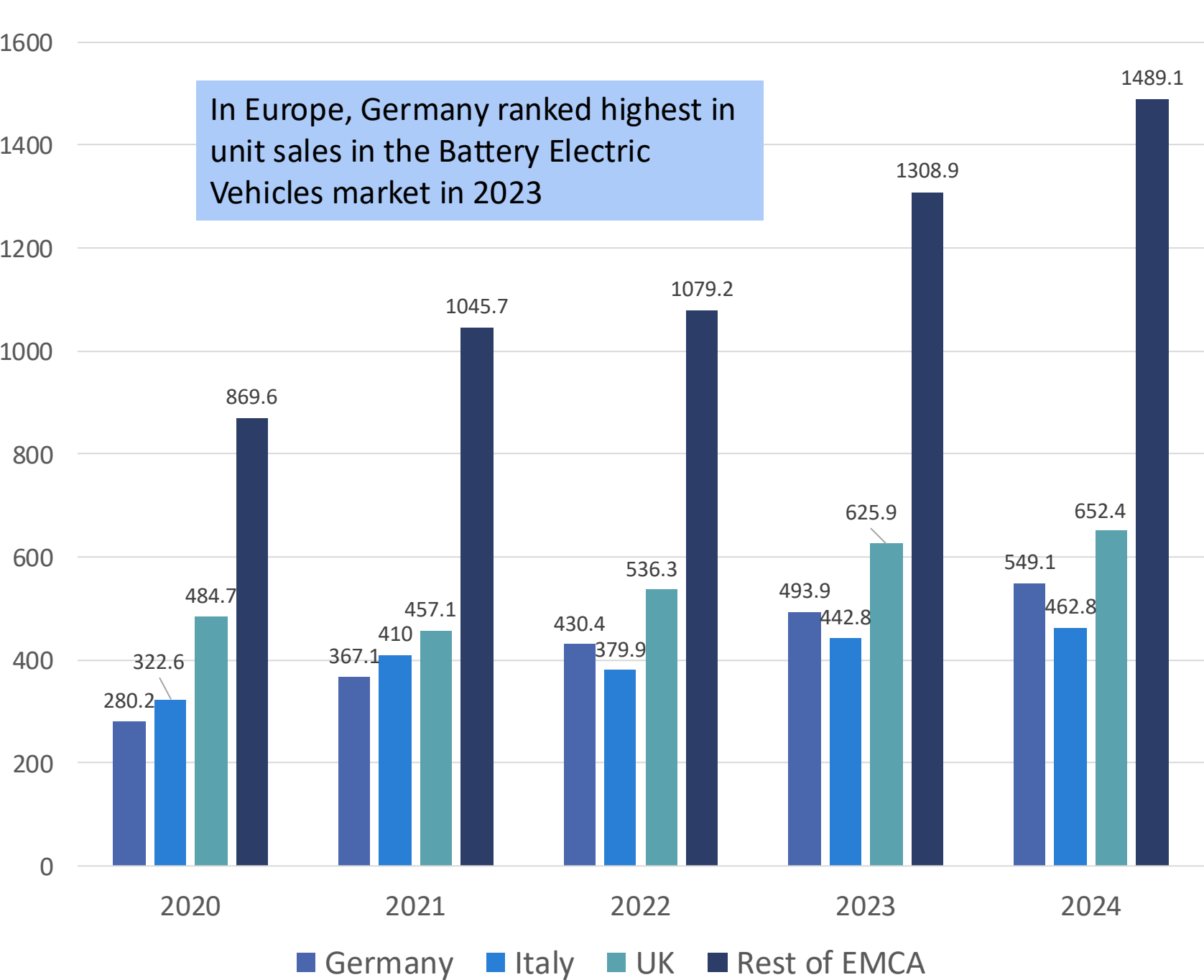
Type	Current models				Announced models	
Hybrid supercars						
	Ghost	Super-GT EV	Revuelto & Temerario	LaFerrari	F80	Alfieri EV
Full-electric supercars						
	Model S & S Plaid	Theory 1 & Emeya	Taycan & Mission E	Spectre		

Ferrari's Core Market Trend

EU Ferrari's vehicle revenue in Europe grew steadily, as EV sales in the EU grew fast after 2019 Q3

Ferrari's vehicle revenue in Europe grow steady...

Vehicle revenue in Europe, in million EUR, 2020-2024



...as Europe EU Market growing faster than ever after 2019 Q3.

Quarterly sales volume of electric vehicles in Europe by type 2015-2024

